problem between department and agency, and (b) all the unexpected things and political problems, which could not be contracted out.

‘Agencification’ will work better when there is a great focus upon rule of law, separation of powers, and low coercion. Agencies must have low powers of investigation, punishment, spending, etc. Only after an agency is proven as having high levels of state capacity can a slow process of giving more power be evaluated. We should only get up to UK-style or Swedish-style powers and punishments when we get up to UK-style or Swedish-style state capacity.

The law that sets up an agency must have clarity of purpose, formal processes for legislative-executive-judicial functions, reporting and accountability, and correct design of the composition and functions of the board. About 140 sections of law, which set up this machinery, is found in the draft Indian Financial Code, version 1.1.

Agencies can sometimes collapse into everyday practical activities, and a loss of strategic thinking. Functionaries would show up to work every day and do the same work that they did the previous day. The board and the top management of the agency have to provide leadership. This involves a feedback loop of taking in information, developing a situational awareness, and undertaking actions that deliver the mandate of the agency. This is related to the teeth-to-tail ratio problem: if an agency is only paying salaries of front-line field operatives, it is all teeth and no tail, it has lost the ability to think.

Discretionary power is routinely abused in the Indian state. The answer is not to remove all discretion. If there is no ability to see the world, and choose the right response, there can be no state capacity. The answer lies in establishing formal procedures with the rule of law, so that discretion is contained in checks and balances.

Administrative law is thus at the heart of the Indian journey.

Building a bridge requires money and time. From the decision to build the bridge to the inauguration, it takes a long time. In similar fashion, building an agency requires money and time. Merely hiring a few people and renting an office do not give a working agency. When a fledgling